

TITLECHAIN FOUNDATION
SUPPLEMENTAL PUBLIC COMMENT
FILE NO. S7-2026-30

October 3, 2026

Vanessa A. Countryman
Secretary
U.S. Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

Re: File No. S7-2026-30 - Release No. 34-106246 - Transfer Agent Rules
Supplemental Comment Regarding Custody, Control, Transfer Authority and the
Authoritative Securityholder Record

Dear Ms. Countryman:

On behalf of TitleChain Foundation, I respectfully submit this supplemental comment to our September 5, 2026, public comment regarding the Commission's proposed Transfer Agent Rules, File No. S7-2026-30.

Since that submission, the Commission on October 1 proposed Adviser and Regulated Fund Custody Rules; Crypto Custody Rules, File No. S7-2026-35, Release Nos. IA-7023 and IC-36353. That proposal raises a related question that we believe should be considered as the Commission modernizes transfer-agent regulation:

When a security is represented, held or transferred through cryptographic infrastructure, how should the federal securities framework distinguish custody of the asset, possession of cryptographic key material, authority to initiate a transfer and the authoritative record of legal ownership?

These functions may intersect. They should not be treated as interchangeable.

Our September 5 comment stated that a bare wallet address is an identifier, not authority. The Commission's subsequent custody proposal makes that distinction even more important.

I. Possession of a key is not the same as legal authority

The proposed crypto-custody framework recognizes that an investment adviser may, under limited circumstances and subject to substantial safeguards, possess key material associated with a client's crypto asset.

Under the proposal, possession of any portion of a client crypto asset's key material may constitute adviser "self-custody." The adviser nevertheless does not thereby become the beneficial owner of the client asset.

That is an important regulatory distinction.

A cryptographic key establishes the technical ability to participate in the control or movement of an asset. Standing alone, it does not necessarily establish who owns the underlying security, who is

legally entitled to direct its transfer, whether the person presenting an instruction is acting in a valid capacity, or whether the proposed transfer complies with restrictions applicable to the security.

A private key establishes an ability to act; it does not, standing alone, establish the legal right to act.

That distinction becomes critical as securities infrastructure moves from paper certificates and closed databases toward digital assets, distributed ledgers, programmable accounts, automated execution and cryptographically controlled records.

II. Custody, transfer authority and ownership should remain distinct

The Commission's two pending proposals now address different parts of the same emerging infrastructure.

The custody proposal addresses, among other things, who may safeguard certain crypto assets and the conditions under which an adviser may possess associated key material.

The transfer-agent proposal addresses the records and functions necessary to determine, maintain and process securityholder ownership and transfers.

Those responsibilities should remain distinguishable even when the same digital asset and blockchain network are involved.

A custodian may possess or safeguard cryptographic key material for an investor without owning the security. An investment adviser operating under the proposed self-custody exception may possess key material for a client without becoming the client. A transfer agent may maintain the authoritative securityholder record without controlling the investor's wallet. An investor may control a wallet without possessing unrestricted legal authority to transfer every asset represented within it. An automated system may be capable of signing or broadcasting a transaction without possessing independent legal authority to decide that the transaction should occur.

The regulatory architecture should preserve those distinctions.

III. The Master Securityholder File remains essential

Commission staff has previously stated that distributed-ledger technology may be used as an official Master Securityholder File, or as a component of one, provided applicable federal securities-law requirements are satisfied.

That guidance is important because it avoids an artificial choice between an "onchain" record and an "off-chain" record. Different elements of an authoritative record may exist across interoperable systems while remaining subject to the transfer agent's legal obligations.

Our September 5 comment therefore recommended open, interoperable standards capable of allowing an issuer, transfer agent, custodian, broker-dealer or other authorized participant to operate its own system while exchanging verifiable evidence concerning identity, authority, restrictions, ownership state and permitted transfers.

The October 1 custody proposal strengthens the case for that approach.

If custodians, advisers and transfer agents can each interact with the same digital security, the market requires a reliable means of reconciling the securityholder recognized on the issuer's books; the account or wallet associated with that securityholder; the party safeguarding relevant key material; the human or legal entity authorized to issue an instruction; any delegated authority through which

another person or system may act; the restrictions governing the security; the transaction that occurred on a distributed ledger; and the resulting legally recognized ownership state.

The objective should not be to force all of those functions into one database, blockchain, wallet, custodian or commercial platform. The objective should be to make the evidence interoperable and auditable while leaving legal responsibility with the regulated party to which the law assigns it.

IV. The Commission should address transfer-agent custody in coordination with S7-2026-30

The custody proposal itself asks whether transfer agents should be permitted to custody additional categories of uncertificated securities, including uncertificated digital securities held by an issuer's transfer agent.

We believe that question should be considered together with the Commission's transfer-agent modernization work.

If a registered transfer agent also performs a custody function, the rules should preserve a clear distinction among safekeeping, authority, registration, execution and evidence.

Safekeeping concerns who possesses or protects the key material or other mechanism necessary to control the digital asset. Authority concerns who has legal authority to direct a particular action involving the security. Registration concerns who the issuer or its transfer agent recognizes as the securityholder of record. Execution concerns what technical system carries out or records the transaction. Evidence concerns what records permit the issuer, transfer agent, investor, regulator and other authorized parties to reconstruct the transaction and determine why it was permitted.

Combining functions should not erase the distinction among them. The more functions a single regulated entity performs, the more important it becomes that its records demonstrate which authority was exercised, in which capacity, for whose benefit and under what restrictions.

V. Adviser self-custody illustrates the need for authority-bound records

The proposed adviser self-custody exception is particularly instructive.

The Commission proposes that an adviser first determine that a qualified custodian is unavailable for the particular crypto asset and periodically reassess that determination. It also proposes safeguards addressing private-key management, cybersecurity, segregation and joint transaction authorization, among other controls.

Those protections appropriately focus on safekeeping. For securities represented through cryptographic infrastructure, however, safeguarding the key should be accompanied by an equally clear record of authority to use the key.

Two persons approving a cryptographic transaction may improve operational security. It does not by itself establish that either person possesses the legal authority necessary to transfer the security.

The system should therefore be capable of recording not merely that a signature occurred, but the authority under which it occurred.

For a securities transfer, relevant evidence may include the accountable principal; current role or appointment; asset and account involved; applicable jurisdiction; transfer restrictions; delegated authority, if any; required approvals; time and scope of authorization; and resulting state of the authoritative securityholder record.

This is the same distinction our original comment addressed through credential-bound participant identifiers and pre-execution authorization controls.

The Commission need not mandate any particular technical implementation to recognize the importance of that distinction.

VI. Automation makes this distinction more urgent

The separation of possession from authority becomes more consequential as automated systems and artificial-intelligence agents become capable of initiating financial actions.

A wallet, cryptographic key, API credential, software agent or model should not become the source of its own authority merely because it possesses the technical ability to submit a transaction.

Authority should originate with an accountable person or legal entity, remain limited to a defined scope and be capable of expiration or revocation.

The machine may execute an authorized instruction. It should not silently manufacture the authority on which that instruction depends.

This principle is technology-neutral. It applies whether the transaction is initiated through traditional financial software, a smart contract, a blockchain wallet or an autonomous agent.

It also becomes an important bridge between the Commission's transfer-agent and custody proposals. Private-key controls can protect the ability to execute. Transfer-agent and related authoritative records can preserve evidence concerning whether the execution was legally authorized and what ownership state resulted.

VII. Requested Commission consideration

In light of File No. S7-2026-35, TitleChain Foundation respectfully supplements its September 5 recommendations and asks the Commission, in connection with File No. S7-2026-30, to consider the following:

- 1. Preserve the distinction between cryptographic control and legal authority.** Possession of key material or control of a wallet should not, standing alone, determine ownership or authority to transfer a security.
- 2. Preserve the distinction between custody and the authoritative securityholder record.** Where another regulated entity safeguards an asset or its key material, the transfer agent should remain capable of determining and evidencing the registered ownership state required by applicable law.
- 3. Provide for interoperable reconciliation.** DLT-based and electronic securities records should be capable of reconciling the securityholder record, relevant digital address or account, transaction evidence, applicable restrictions and authorized transfer instruction without requiring all participants to use a single proprietary platform.
- 4. Bind digital transfer instructions to accountable authority.** Where cryptographic signatures, automated systems or delegated agents are used, records should be capable of showing the accountable human or legal principal, the relevant role or authority, the scope of delegation and the evidence supporting the transaction.
- 5. Coordinate transfer-agent and custody modernization.** If transfer agents are permitted to custody uncertificated digital securities, the Commission should preserve clear functional and evidentiary boundaries among custody, registration, authorization, execution and recordkeeping.

6. Maintain implementation neutrality. The Commission can establish these principles without prescribing a particular blockchain, identity provider, wallet architecture, registry or commercial vendor.

The Commission has an opportunity through these parallel proceedings to address a problem that did not exist when the transfer-agent rules were developed in their present form.

In the paper world, possession, instruction, registration and settlement passed through identifiable institutional boundaries.

In a digital environment, those boundaries can collapse into a wallet, a key or a software instruction unless the regulatory framework deliberately preserves them.

Modernization should not permit technical possession to become a substitute for legal authority.

It should instead allow cryptographic evidence, distributed ledgers and programmable systems to make authority and ownership more readily verifiable while preserving the regulated functions and legal records upon which investors and issuers depend.

TitleChain Foundation continues to offer its public standards work solely as an optional, implementation-neutral reference architecture. We do not request that the Commission designate TitleChain, M5Canon or any Foundation system as a required platform, registry or regulated service provider.

Thank you for the opportunity to supplement our September 5 submission.

Respectfully submitted,

/s/ Pamela Norton

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References

U.S. Securities and Exchange Commission, Transfer Agent Rules, File No. S7-2026-30, Release No. 34-106246 (2026).
U.S. Securities and Exchange Commission, Adviser and Regulated Fund Custody Rules; Crypto Custody Rules, File No. S7-2026-35, Release Nos. IA-7023 and IC-36353 (Oct. 1, 2026).
TitleChain Foundation, Public Comment on File No. S7-2026-30 (Sept. 5, 2026).